

Hello everyone. My name is Renee Kammeyer.

In this investigation project, I analyzed EduFins loan portfolio across three investigations sets portfolio, health, Customer risk, and Time analysis, and day one. The goal was to understand the overall health of the portfolio. EduFins portfolio was classified as critical with a 20.52% default rate, which is above the 15% critical risk threshold. The total portfolio value was 508.68 crores, and 157.57 crores was tied up in defaulted and overdue loans. That means 30.98% of the portfolio was considered at risk. This showed that the issue was not isolated. It was a portfolio wide credit quality problem requiring immediate action. I have went through the code and these are my findings down here. We are going to move over to the customer risk section in day two. The goal was to identify who was driving default risks. The Sybil analysis did not show a perfect relationship between the lower credit scores and higher defaults. For example, the median risk civil segment had the highest default rate at 22.27%, while the high risk of it was lower at 19.1%. The income analysis showed that the less than three loan L loans income group had the highest default rate at 22.33%, but the 12 L plus income group created the highest financial loss, with about 839.7 million defaulted and in million in default exposure. The highest risk profile was self-employed customers in the less than three L income segment, with 32% default rate, although that segment only had 25 loans, so larger, higher income groups still mattered because of the biggest loan sizes. Now in day three, that was a time analysis. The goal is to understand when the crisis began and how to develop over time. The portfolio first crossed the 10% default rate threshold in September 2021, when the default rate reached 13.69%. The fastest deterioration also happened from August 2021 to September 2021, when the default rate increased by 11.32%. Points for institutional risk institution 2214 had the fastest default timing proxy of about 1080 average days, while institutions two, 886 and 4874 followed at about 1260 average days. Institution 4310 had the highest visible cumulative defaulted amount at about 0.18. The cumulative loss analysis shows that the default exposure continued to grow over time. The portfolio first crossed five cause and cumulative default exposure in August of 22, reaching about 5.28 cores. Even though some periods showed improvement, the overall pattern showed continuous continued loss, accumulation, and inconsistent repayment behavior. No strong seasonal repayment pattern appeared, but repeated spikes showed and the need for ongoing monitoring. Overall, my recommendation is I should continue lending cautiously, not fully stop lending, and not maintain the current pace without changes. The company should strengthen underwriting, monitor higher risk borrower groups more closely and review institutions with faster defaults, and prioritize collections on repeated defaulters and high exposure accounts. The main conclusion in a defense crisis is measurable, financially significant, and requires immediate risk controls to prevent further deterioration.

